

Options I

Foundations

Explained so simply a 10-year-old gets it

The right (not the obligation) to buy or sell — calls, puts, the four base trades, and how to read the option chain before the Greeks.

Stock Market Mastery Roadmap • Advanced Level
Educational only — not investment, trading, or tax advice.

Options are the most **flexible** tool in trading — and the most misunderstood. The big idea: an option is a **ticket that gives you a right, but not an obligation**. Think of a **movie token you booked but don't have to use**. Master the basics here and the Greeks (next chapter) will click. Since you trade F&O already, this tightens the foundation.

Calls & puts: the two basic tickets

- **Call option**  — the right to **BUY** at a fixed price. You want a call when you expect prices to **rise**.
- **Put option**  — the right to **SELL** at a fixed price. You want a put when you expect prices to **fall**.

A SIMPLE EVERYDAY PICTURE

A **call** is like paying a small fee to **lock the price of a toy** you might buy next month — if the toy's price jumps, you still get it cheap; if not, you only lose the small fee. A **put** is like **insurance** on something you own — pay a little now, get paid if its value drops.

The four base positions

Position	You believe...	Risk	Reward
Long Call (buy call)	price rises	limited (premium)	large
Long Put (buy put)	price falls	limited (premium)	large
Short Call (sell call)	price won't rise	large	limited (premium)
Short Put (sell put)	price won't fall	large	limited (premium)

The words on the ticket

- **Strike** — the **fixed price** written on the option.
- **Premium** — the **price you pay** (buyer) or collect (seller) for the ticket.
- **Expiry** — the **deadline** after which the ticket is worthless.
- **ITM / ATM / OTM** — In / At / Out of The Money: whether the ticket **already has value** (ITM), sits right at the price (ATM), or is **not useful yet** (OTM).
- **Intrinsic vs time value** — **intrinsic** = the *real* value right now; **time value** = the *extra hope* you pay for the time left.

MELTING ICE CREAM: TIME VALUE

An option's **time value melts away** as expiry nears — like **ice cream on a hot day**. Even if the price doesn't move, a bought option quietly loses value each day. That "melting" is called **theta** (more next chapter).

Buyer vs Seller: two very different jobs

	Option BUYER	Option SELLER
Pays / gets	pays premium	collects premium
Risk	limited (just the premium)	large (can be huge)
Reward	large	limited (the premium)
Wins when	a big move happens	not much happens (time decay)

Buyers pay for **convexity** (a small bet with big upside). Sellers earn **theta** (time-decay income) but carry **tail risk** — rare, huge losses. Most options **expire worthless**, which tempts people to sell... carefully.

The option chain: a map of the crowd

The **option chain** lists every strike with clues about where people have placed their bets:

- **OI (Open Interest)** — how many contracts are **live** at each strike — big OI = a crowded, important level.

- **Change in OI** — where **new** bets are being added or removed.
- **Volume** — how much traded today.
- **IV (Implied Volatility)** — how much movement the market is **pricing in** (fear/excitement gauge).
- **PCR (Put-Call Ratio)** — puts vs calls — a rough **sentiment** meter.

Settlement & expiries (India)

- **Exercise / Assignment** — using the right (buyer) / being called to honour it (seller).
- **Index options = cash-settled** — you just get the cash difference.
- **Stock options = physically settled** — you may have to actually **give/take delivery** of shares — a surprise for the unprepared!
- **Weekly vs monthly** — weeklies decay **much faster** and behave very differently near expiry — treat them with extra care.



Key ideas to remember

- **Options price probability and time, not just direction.** You can be **right on direction and still lose** — because you also paid for time and volatility.
- **Sellers collect theta but carry tail risk; buyers pay theta for convexity.** Two opposite jobs — know which you're doing and why.
- **The option chain is a map of where participants have positioned** — read OI, IV, and PCR to see the crowd.

PRACTICAL EXERCISES

-  **Draw payoff diagrams by hand** for all **four base positions** at expiry — feel the shapes.
-  **On a live chain, find the max-OI strikes** and infer the likely **support/resistance and expected range**.
-  **Buy 1 ATM option on a simulator** and watch its value change with the **underlying, time, and IV** over 3 days.

REAL-WORLD APPLICATION

-  **Reading OI + IV + PCR before an event** is how traders estimate the **market-implied range** — and that range **anchors which strikes** you choose. It's the difference between guessing and positioning.

ADVANCED PITFALL: NAKED OPTION SELLING

Selling options without defined risk (or hedges) is how even *experienced* traders **blow up on a single gap**. The premium is small and steady — until one violent move wipes out months of it at once. **Never sell an unhedged option whose worst case you haven't sized for.** If you can't survive the disaster scenario, don't put it on.

ONE-LINE SUMMARY

An option is a **right, not an obligation**: **calls** to buy, **puts** to sell. Four base trades (long/short call/put) trade off **limited-vs-large risk and reward**. Prices reflect **direction + time + volatility**, time value **melts (theta)**, and the **option chain** (OI, IV, PCR) maps the crowd. Buyers get convexity; sellers earn theta but must **never go naked into a gap they can't survive**.